

CHAPTER OVERVIEW

All business ventures operate as a legally recognized form of business entity.

Business owners and managers who have a fundamental knowledge of the structure, advantages, and risks associated with each form of business entity are more effective at focusing on business opportunities while limiting potential liability. Most states recognize at least six forms of business entities. In addition to providing an overview of the forms of business entities and factors used to determine the best choice of entity for a given business, this chapter focuses on the law governing the most basic form of entity: the sole proprietorship. We discuss other forms of entity in detail in future chapters of this section.